

Q4FY22 Result Update | Retail

Equity Research Desk

Poor show ; Demand likely to normalize next Qtr

May 3, 2022

Results were below our expectations

- **Revenues:** degrew by 0.4% YoY to Rs.74,970 mn (QoQ -25%) (excluding bullion sale of Rs.3,750 Mn in Q4FY22 vs Rs 250 Mn YoY; Jewellery business grew by 2.5%)
- **EBIDTA:** degrew by 2.8% YoY to Rs 7,940 Mn (QoQ -45%)
- **EBIDTA margins** stood at 10.18% v/s 10.90% YoY (QoQ 14.37%)
- **Adj. Net Profit** degrew by 7.9% YoY to Rs.5,196mn (QoQ 48%)

Segmental

• **Jewellery: (87% of Income)**

Revenues grew by 2.5% YoY to Rs 68,430 mn, **EBIT margins** 11.21% vs 10.74% YoY and 14.22% QoQ Stores +68 in FY22 || Total 582

• **Watches (8% of Income)**

Revenues grew by 11.8 % YoY to Rs 6,250 mn **EBIT margins** - 5.60 % v/s 6.80 % YoY and 11.27% QoQ
Stores (fasttrack+WOT+Helios) +61 in FY22 || Total 843

• **EyeWear(1.7% of Income)**

Revenue grew by 5.5% YoY to Rs 1,340 mn, **EBIT margins** - 5.22 % v/s 18.11 % YoY and 21.79% QoQ
Store +134 || Total 733

Outlook from Management Call

- Titan posted poor set of numbers on account of wait & watch approach adopted by customers due to increase in gold prices & exceptional items of 540 Mn for VRS Scheme & 820 Mn on account of ex-gratia; PAT margins maintained on account of lower tax rate
- Q1FY23 expected to be better as demand has started to pick up on easing gold prices, rise in wedding purchases & April 2022 performance has been extremely good as per management expectation
- EBIT Margin guidance maintained in the range of 12-13%

Financial Summary

Y/E Mar (Rs mn)	FY20	FY21	FY22E	FY23E	FY24E
Net sales	2,10,515	2,16,450	2,87,990	3,36,771	4,00,887
EBIDTA	24,666	17,250	33,410	43,126	54,541
Margins	11.7	8.0	11.6	12.8	13.6
Adjusted net profit	15,014	9,740	21,730	30,623	38,841
EPS (Rs)	16.9	10.9	24.4	34	44
P/E (x)	141.1	218.0	97.7	69.3	54.7
EV/EBITDA (x)	86.5	122.0	62.8	48.7	38.7
RoCE (%)	24.5	15.1	27.7	31.2	36.2
RoE (%)	22.5	13.0	23.8	27.9	29.2

Source: Company

Rating	TP (Rs)	Up/Dn (%)
BUY ON DIPS	2,443	2

Market data

Current price	Rs	2,387
Market Cap (Rs.Bn)	(Rs Bn)	2,119
Market Cap (US\$ Mn)	(US\$ Mn)	27,720
Face Value	Rs	1
52 Weeks High/Low	Rs	2768 / 1400.05
Average Daily Volume	('000)	1,544
BSE Code		500114
Bloomberg		TTAN.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Mar-22	Dec-21
Promoters	52.90	52.90
Public	47.1	47.1
Total	100	100

Source: BSE

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Conference Call Highlights

A. Jewellery Division

- EBIT Margin (excluding exceptional items) @ 13.1% for Q4FY22
- Management has guided for 12-13% stable set of margins
- Contribution from Golden harvest @ 18% in Q4FY22 vs 15% in Q4FY21. However still lower compared to 20% contribution in Q4FY20
- Gold exchange @ 28% vs 27% YoY
- Lab made diamonds still at very low penetration. However getting acceptance in USA on back of sustainability.
- Inventory gain on diamonds @ Rs.1,900 Mn in H2FY22 (Rs.600 Mn in Q3FY22 & Rs.1,300 Mn in Q4FY22)
- Walk-ins saw a minor decline, ticket sizes grew 3% YoY; Conversion% remained healthy

B. Watches & Wearables Division

- Watches segment reported -ve EBIT on account of higher contribution from ex-gratia & VRS due to higher headcount in this segment
- Normalised EBIT at Rs.420 Mn
- EBIT Margin (excluding exceptional items) @ 6.7% for Q4FY22 & 6.9% for entire year
- Growth is entirely value led with volumes remaining flattish YoY
- The 'Smart' wearables and hearables, across Titan and Fastrack brands, continued to show good traction in all the product launches of Q3 FY22

C. Eye Wear Division

- Normalised EBIT at Rs.30 Mn (excluding exceptional items)
- Network expansion continued in line with the ambitious growth plans with the 54 store openings (net) in the quarter

D. Other business – Indian Dress Wear, Fragrances and Accessories

- Increase in sales from departmental stores and ecommerce led to a healthy growth in Fragrances and Fashion Accessories

Quarterly Financials

Particulars (Rs Mns)	Q4FY22	Q4FY21	Growth%	Q3FY22	Growth%
Sale of products/services	72,670	73,510	(1.1)	99,030	(26.6)
Other operating revenues	5,290	1,430	269.9	1,340	294.8
Total Operating Revenues	77,960	74,940	4.0	1,00,370	(22.3)
Other income	760	570	33.3	570	33.3
Total Income	78,720	75,510	4.3	1,00,940	(22.0)
Cost of Materials Consumed	72,750	46,750	55.6	67,070	8.5
Purchase of stock-in-trade	13,950	9,060	54.0	13,830	0.9
Changes in stock	(28,430)	2,560	(1,210.5)	(5,890)	382.7
Total RM Cost	58,270	58,370	(0.2)	75,010	(22.3)
RM to Op Revenue	74.74%	77.89%		74.73%	
Employee benefits expense	3,950	2,900	36.2	3,240	21.9
Employee to Op Revenue	5.07%	3.87%		3.23%	
Advertising	1,980	1,010	96.0	2,080	(4.8)
Ad Spends to OP Revenue	2.54%	1.35%		2.07%	
Other expenses	5,820	4,490	29.6	5,620	3.6
O. Exps to Op Revenue	7.47%	5.99%		5.60%	
EBITDA (exc. OI)	7,940	8,170	(2.8)	14,420	(44.9)
EBITDA Margin	10.18%	10.90%		14.37%	
EBITDA	8,700	8,740	(0.5)	14,990	(42.0)
Depreciation	1,020	930	9.7	980	4.1
PBIT	7,680	7,810	(1.7)	14,010	(45.2)
Interest	610	510	19.6	570	7.0
PBT	7,070	7,300	(3.2)	13,440	(47.4)
Total Tax	1,260	1,620	(22.2)	3,320	(62.0)
Tax Rate	17.8%	22.2%		24.7%	
PAT	5,810	5,680	2.3	10,120	(42.6)
Exceptional item	540	-	-	-	-
Share of profit from JV/ Associate	-	-	-	-	-
Minority Interest	170	40	325.0	80	112.5
Adjusted PAT	5,196	5,640	(7.9)	10,040	(48.2)
NPM	6.60%	7.47%		9.95%	
Equity	890	890	-	890	-
FV	1	1	-	1	-
EPS	5.8	6.3	(8.7)	11.3	(48.2)
Segmental Revenues					
Watches	6,250	5,590	11.8	7,100	(12.0)
% to Operating Income	7.9%	7.4%		7.0%	
Jewellery	68,430	66,780	2.5	90,590	(24.5)
% to Operating Income	86.9%	88.4%		89.7%	
Eyewear	1,340	1,270	5.5	1,560	(14.1)
% to Operating Income	1.7%	1.7%		1.5%	
Others	2,290	1,400	63.6	1,340	70.9
% to Operating Income	2.9%	1.9%		1.3%	
Corporate (unallocated)	410	470	(12.8)	350	17.1
% to Operating Income	0.5%	0.6%		0.3%	
Total	78,720	75,510	4.3	1,00,940	(22.0)
PBIT					
Watches	(350)	380	(192.1)	800	(143.8)
% to segmental Income	-5.60%	6.80%		11.27%	
Jewellery	7,670	7,170	7.0	12,880	(40.5)
% to segmental Income	11.21%	10.74%		14.22%	
Eyewear	(70)	230	(130.4)	340	(120.6)
% to segmental Income	-5.22%	18.11%		21.79%	
Others	20	(10)	-	40	-
% to segmental Income	0.87%	-0.71%		2.99%	

Valuation & Outlook

Titan saw near term pain due to rising gold prices, omicron variant in the month of January & geopolitical tensions round the globe.

However we believe the long term story of Titan remains intact given the exemplary brands it has & the ever increasing opportunity size of the market it caters

Jewelry business has some near term headwinds but with easing prices of gold demand has started to pick up along with wedding season round the corner will give further impetus to demand.

Also management has strong plans to revamp the fasttrack brand & with current pace of store openings we can expect good numbers for watch segment in coming quarters

Management is confident of maintaining EBIT margins in the range of 12-13%.

Valuations @ Rs 2,386 : Titan trades at 69x FY23E/55x FY24E EPS of Rs 34 and Rs.44 respectively, We have revised our estimates on account of rising gold prices & near term headwinds. **We revise our target price from Rs.2,750** earlier to Rs.2,443 & maintain **“Buy on Dips”** rating valuing company at 56x FY24E

Financials

P&L (Rs mn)	FY20	FY21	FY22	FY23E	FY24E	Cash Flow St. (Rs. mn)	FY20	FY21	FY22	FY23E	FY24E
Net Sales	2,10,515	2,16,450	2,87,990	3,36,771	4,00,887	Net Profit	15,014	9,740	21,730	30,623	38,841
Operating Expenses	(1,51,551)	(1,64,140)	(2,16,410)	(2,50,894)	(2,96,657)	Add: Dep. & Amort.	3,480	3,750	3,990	4,424	4,814
Employee Cost	(11,994)	(10,650)	(13,490)	(15,109)	(17,073)	Cash profits	18,493	13,490	25,720	35,046	43,654
Other Expenses	(22,305)	(24,410)	(24,680)	(27,642)	(32,617)	(Inc)/Dec in					
Operating Profit	24,666	17,250	33,410	43,126	54,541	-Sundry debtors	1,089	(545)	(1,074)	121	(878)
Depreciation	(3,480)	(3,750)	(3,990)	(4,424)	(4,814)	-Inventories	(10,642)	(3,050)	(22,437)	(18,042)	(23,714)
PBIT	21,186	13,500	29,420	38,703	49,727	-Loans/advances	1,661	906	(119)	(131)	(170)
Other income	1,532	1,860	2,340	3,730	3,607	- Other Current Assets	(5,212)	382	(1,552)	(1,549)	(2,050)
						- Current Liab and					
Interest	(1,662)	(2,030)	(2,180)	(1,276)	(1,265)	Provisions	3,884	(2,084)	5,733	(342)	3,075
PBT	21,057	13,330	29,580	41,157	52,069	Sundry Creditors	(3,093)	1,923	2,782	1,701	2,257
Profit before tax (post exceptional)	21,057	13,330	29,580	41,157	52,069	Change in working capital	(12,312)	(2,467)	(16,667)	(18,243)	(21,481)
						CF from Oper. activities	6,181	11,023	9,053	16,803	22,173
Provision for tax	(6,090)	(3,530)	(7,060)	(10,359)	(13,106)	CF from Inv. activities	(14,507)	(29,444)	6,037	(3,760)	19,477
Reported PAT	14,967	9,800	22,520	30,798	38,963	CF from Fin. activities	1,472	20,210	1,568	(17,519)	(41,039)
MI	87	(10)	(250)	(175)	(123)	Cash generated/(utilised)	(6,854)	1,789	16,657	(4,476)	611
Net Profit	15,054	9,790	22,270	30,623	38,841	Cash at start of the year	10,665	3,811	5,600	22,257	17,782
Adjusted Profit (excl Exceptionals)	15,014	9,740	21,730	30,623	38,841	Cash at end of the year	3,811	5,600	22,257	17,782	18,393
Balance Sheet	FY20	FY21	FY22	FY23E	FY24E	Ratios	FY20	FY21	FY22	FY23E	FY24E
Equity capital	888	890	890	890	890	OPM	11.7	8.0	11.6	12.8	13.6
Reserves	65,800	74,080	90,378	1,08,751	1,32,055	NPM	7.08	4.46	7.48	8.99	9.60
Net worth	66,688	74,970	91,268	1,09,641	1,32,945	Tax rate	(28.9)	(26.5)	(23.9)	(25.2)	(25.2)
MI	44	50	300	475	598	Growth Ratios (%)					
Non Current Liabilities	12,501	12,350	12,480	12,108	2,368	Net Sales	6.4	2.8	33.1	16.9	19.0
Current Liabilities	56,266	77,150	92,575	88,861	78,308	Operating Profit	23.9	(30.1)	93.7	29.1	26.5
						PBIT	15.9	(36.3)	117.9	31.6	28.5
TOTAL LIABILITIES	1,35,498	1,64,520	1,96,623	2,11,085	2,14,219	PAT	6.9	(35.1)	123.1	40.9	26.8
Non Current Assets	34,295	32,550	33,221	33,063	27,369	Per Share (Rs.)					
Fixed Assets	25,287	24,320	24,193	23,530	17,363	Net Earnings (EPS)	17	11	24	34	44
Goodwill	1,230	1,230	1,230	1,230	1,230	Cash Earnings (CPS)	20.8	15.2	28.9	39.4	49.0
Non Current Investments	444	190	200	200	200	Dividend	4.0	3.8	6.1	13.8	17.5
Deferred Tax Asset	1,590	1,050	1,050	1,050	1,050	Book Value	75.1	84.2	102.5	123.2	149.4
Long Term Loans and Advances	1,535	430	473	520	598	Free Cash Flow	16.3	11.3	10.4	17.4	23.7
Other Non Current Assets	4,210	5,330	6,075	6,533	6,927	Valuation Ratios					
Current Assets	1,01,203	1,31,970	1,63,401	1,78,022	1,86,850	P/E(x)	141.1	218.0	97.7	69.3	54.7
Current investments	1,136	28,050	18,140	18,140	16	P/B(x)	31.8	28.3	23.3	19.4	16.0
Inventories	81,030	84,080	1,06,517	1,24,559	1,48,273	EV/EBITDA(x)	86.5	122.0	62.8	48.7	38.7
Trade Receivables	3,116	3,660	4,734	4,613	5,492	Div. Yield(%)	0.2	0.2	0.3	0.6	0.7
Cash and Bank Balances	3,811	5,600	22,257	17,782	18,393	FCF Yield(%)	0.7	0.5	0.4	0.7	1.0
Short Term Loans and Advances	561	760	836	920	1,012	Return Ratios (%)					
Other Current Assets	11,550	9,820	10,917	12,009	13,665	ROE	23%	13%	24%	28%	29%
TOTAL ASSETS	1,35,498	1,64,520	1,96,623	2,11,085	2,14,219	ROCE	25%	15%	28%	31%	36%

Source: Dalal & Broacha Research, Company

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